

ANALYTICAL STORY REPORT

Prepared By:

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Three analytical questions were selected for investigation. Each question was chosen because the budget data can answer it fully — no external datasets required — and because the answer reveals something that everyday Nigerians need to hear.

#	Question	Why It Matters
Q1	How does Nigeria's debt obligation compare to its revenue, and what does it mean that the government is borrowing ₦25.27 trillion to fund this budget?	Every Nigerian who has ever asked "where does my tax money go?" deserves this answer. The numbers show a country spending ₦1.76 for every ₦1 it earns.
Q4	Nigeria allocates ₦23.2 trillion to capital expenditure — but how much of that is genuinely new investment versus outstanding contractor liabilities and loan repayments dressed up as capital spending?	Nigerians are told a big capital budget number every year. This question asks what that number actually means once legacy debts are stripped out.
Q5	Section 4 of the Appropriation Bill legally mandates that healthcare investment must not be less than 6% of total budget net of debt service — does the 2026 budget actually meet this constitutional obligation?	This is the only sector with a legally binding spending floor written into the Bill itself. It is testable, precise, and politically significant if the answer is borderline

Question 1 — Deficit & Debt Burden

"Nigeria Spends ₦1.76 For Every ₦1 It Earns"

What the Dashboard Shows (Figure 1 — Page 1)

The first dashboard page opens with six KPI cards that set the scene instantly: Nigeria expects to earn ₦33.20 trillion in 2026 but plans to spend ₦58.47 trillion. The gap — ₦25.27 trillion — must be borrowed. Six charts then unpack what this means.

Visual on Dashboard	What It Shows	Key Finding
IMF Debt Service Gauge	Debt service (47.92%) vs. IMF 30% benchmark	Nigeria is nearly 18 percentage points above the international danger threshold
Revenue Source Donut	Breakdown of ₦33.2T revenue by source	The Federation Account (oil) contributes 56.74% — Nigeria's revenue base is dangerously narrow

Expenditure Bar Chart	How ₦58.5T is split across categories	Capital (₦23.2T) is largest, but Debt Service (₦15.9T) exceeds Recurrent spending
Debt Composition Bar	Domestic vs Foreign vs Sinking Fund	Domestic debt at ₦10.16T (63.9%) dominates — Ways & Means borrowing from the CBN
Financing Donut	How the ₦25.3T deficit is plugged	91.14% financed by direct borrowing — asset sales contribute a negligible 0.7%
Kobo-per-Naira Bar	Cost of each category per ₦1 of revenue	Nigeria spends 176 kobo for every 100 kobo it earns — the deficit made tangible

The Story — Explained for Every Nigerian

Imagine you earn ₦100,000 a month but your expenses are ₦176,000. You borrow the ₦76,000 difference. But here is the critical part — almost ₦48,000 of your ₦100,000 income goes straight to paying back old debts before you buy a single bag of rice. That is Nigeria's fiscal position in 2026.

Of every naira the federal government earns, roughly 48 kobo goes immediately to debt service. Then recurrent spending — salaries, pensions, operational costs — takes another 46 kobo. Capital investment takes 70 kobo. Statutory transfers take 12 kobo. When you add it all up, the bill comes to 176 kobo for every 100 kobo earned. The missing 76 kobo? It is borrowed.

The IMF recommends that a country's debt service should not exceed 30% of its revenue. Nigeria's debt service in 2026 is 47.92% — nearly double the danger threshold. This is not a new problem, but 2026 marks one of its most acute expressions.

Revenue: Where Does Money Come From?

The revenue donut chart reveals a second structural problem: dependency. The Federation Account — driven by oil revenues — supplies 56.74% of all revenue. Government-Owned Enterprises contribute 23.09%. Independent revenue (taxes, fees, levies collected by MDAs) contributes only 13% despite being the most sustainable long-term revenue base.

Foreign aid and grants supply ₦1.37 trillion (3.36%). This means Nigeria is partly funding its public services with charity — a fragile arrangement that exposes the budget to geopolitical shocks outside Nigerian control.

Question 4 — The Capital Expenditure Illusion

"Not All of ₦23.2 Trillion Is New Investment"

What the Dashboard Shows (Figure 2 — Page 2)

The second dashboard page opens with three KPI cards showing the decomposition of the ₦23.2 trillion capital budget. The central waterfall chart then makes the deduction visible — the headline shrinks to ₦17.6 trillion once carryovers and loan-funded items are stripped away.

Visual on Dashboard	What It Shows	Key Finding
Capital Nature Donut	3-way split: New Investment, Loan-Funded, Carryover	The green 75.6% slice looks reassuring — until you examine what the red 9.6% contains
Waterfall/Decomposition Bar	Total → minus carryover → minus loans → true new	The ₦23.2T shrinks by ₦5.7T before a single new project begins
Carryover Items Bar	All 6 legacy debt line items named and sized	₦1.7T alone is for unpaid 2024 contractor bills — money owed for work already done
Loan-Funded Bar	All 12 multilateral/bilateral projects	Power and Works ministries dominate — ₦1.05T of loan-funded infrastructure
Top MDAs New Investment	Which ministries get the most genuine new capital	Federal Ministry of Works commands ₦3.07T — 17.5% of all true new investment

The Carryover Problem — Legacy Debts in the Capital Budget

Six line items totalling ₦2.24 trillion are classified in the budget as capital expenditure but represent money owed for past obligations rather than new investments. They are:

Line Item	Amount	What It Really Is
2024 Outstanding Contractor's Liabilities	₦1,700.0 Bn	Bills from last year's infrastructure projects that were not paid in 2024
Presidential Air Fleet Logistics & National Forest Guard	₦283.9 Bn	Operational and logistics obligations for government aircraft
Local Contractors' Debts / Other Liabilities	₦100.0 Bn	Additional unpaid bills from government construction projects
NAF Helicopter Obligations (T-129 ATAK & MI-35)	₦110.3 Bn	Unpaid balance on military helicopter procurement contracts
Intl. Organisation Share Subscriptions	₦30.0 Bn	Nigeria's outstanding membership contributions to international bodies
TETFund Repayment	₦12.9 Bn	Refund of funds borrowed from the Education Tax pool

Loan-Funded Projects — New Spending, Future Obligations

Twelve projects totalling ₦3.42 trillion are funded by multilateral and bilateral loans — meaning they are new real investments, but financed by new borrowing that will generate future debt service. These include:

Ministry	Amount	Funder Type
Aid & Grants Funded Projects	₦1,367.2 Bn	Foreign Aid / Donor
Federal Ministry of Power	₦686.7 Bn	Multilateral Loan
Budget & Economic Planning	₦381.1 Bn	Multilateral Loan
Federal Ministry of Works	₦367.9 Bn	Bilateral Loan
Finance Ministry	₦182.3 Bn	Multilateral Loan
Agriculture & Food Security	₦168.1 Bn	Multilateral Loan

Others (6 ministries)	₦264.8 Bn	Various
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When the government announces a ₦23.2 trillion capital budget, it sounds like ₦23.2 trillion worth of new roads, hospitals, schools, and power plants. The data tells a more complicated story.

Out of every ₦100 in the capital budget: ₦9.64 goes to paying debts Nigeria already owed — to contractors who built things last year and were not paid; to helicopter manufacturers waiting on military aircraft contracts; to international organisations owed membership fees. Another ₦14.72 goes to new projects that are actually funded by new loans — so they create a future debt repayment obligation.

That leaves ₦75.64 — roughly ₦17.6 trillion — that represents genuine new self-funded investment. That is real. But it is significantly less than the headline number. And with the Federal Ministry of Works alone commanding ₦3.07 trillion of that, the geographic spread of truly new investment is a question worth asking next.

The Healthcare Compliance Test

"Nigeria's Health Budget Is Compliant — But By a Dangerous Margin"

The Compliance Calculation

The test is straightforward in principle but politically significant in outcome:

Calculation Step	Amount
Total Budget (gross)	₦58,472.6 Billion
Less: Debt Service	₦15,909.4 Billion
Net Budget (the base for the 6% calculation)	₦42,563.3 Billion
6% Legal Threshold	₦2,553.8 Billion
Actual Health-Eligible Spending	₦2,719.3 Billion
Compliance Margin (surplus above minimum)	₦165.5 Billion
Actual Health % of Net Budget	6.39%
VERDICT	COMPLIANT

What the Dashboard Shows (Figure 3 — Page 3)

Visual on Dashboard	What It Shows	Key Finding
COMPLIANT Banner	Green card showing Section 4 verdict	The budget passes — but the sensitivity test tells the real story
Compliance Gauge	Actual 6.39% vs. legal minimum 6.00%	The needle is barely above the red line — a 0.39 percentage point margin
Health Line Items Bar	All 15 health-eligible lines ranked by size	Two items — Health Ministry recurrent (₦1,010Bn) and capital (₦898Bn) — make up 70% of the total
Health by Type Donut	Recurrent vs Capital vs Statutory split	48.76% recurrent, 43.33% capital, 7.90% statutory — a structurally healthy balance

Sensitivity Bar Chart	3 compliance scenarios tested	Remove one building (NIA Hospital) and Nigeria falls out of compliance
Health vs Security Bar	Side-by-side sector comparison	Security gets ₦6.55T — 2.41 times the entire health-eligible budget

The 15 Health-Eligible Line Items

The Section 4 compliance total of ₦2,719.3 billion is made up of these 15 specific line items across Parts J, L, and M of the budget:

Line Item	Part	Amount (₦ Bn)	Status
Federal Min. of Health & Social Welfare (Recurrent)	L	1,010.23	Uncontested
Federal Min. of Health & Social Welfare (Capital)	M	898.33	Uncontested
Nigeria Intelligence Agency (NIA) Hospital	M	208.05	Contested △
GAVI / Immunisation	L	250.96	Uncontested
Basic Health Care Provision Fund	J	214.91	Uncontested
New MDAs Take-Off Grant (Recurrent — Health)	L	41.12	Contested △
New MDAs Take-Off Grant (Capital — Health)	M	19.50	Contested △
HIV/AIDS, TB & Malaria Domestic Co-financing	M	22.68	Uncontested
Health — Loan Funded (Capital)	M	25.90	Uncontested
Malaria Vaccination of Infants	L	12.55	Uncontested
NYSC Corp Members NHIS	L	5.00	Uncontested
Presidential Women's Health Initiative (Capital)	M	4.46	Uncontested
Presidential Women's Health Initiative (Recurrent)	L	1.54	Uncontested
NHIS — Military Retirees Including Arrears	L	3.57	Uncontested
Presidential Committee on Health Sector Reform	M	0.50	Uncontested

The Sensitivity Test — The Most Important Finding

The compliance verdict changes dramatically depending on whether two contested items are included. This is the critical discovery of Question 5:

Scenario	Health Spend	% of Net Budget	Verdict
Full Inclusion (Baseline — all 15 items)	₦2,719.3 Bn	6.39%	COMPLIANT
Exclude NIA Hospital (₦208 Bn security-sector facility)	₦2,511.2 Bn	5.90%	NON-COMPLIANT
Exclude NIA Hospital + New MDA Grants (₦60.6 Bn)	₦2,450.6 Bn	5.76%	NON-COMPLIANT

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Health vs. Security: The Values Question

The final chart on Page 3 places the health budget in its sharpest context. Nigeria's Security & Defence sector, including the Ministry of Defence, Police Affairs, Ministry of Interior, National Security Adviser, and related operations receives a combined ~~₦~~6.55 trillion. The entire health-eligible budget is ₦2.72 trillion.

For every ₦1 Nigeria spends on health, it spends ₦2.41 on security and defence. Security is a legitimate priority for a country facing real insurgency threats. But for the 200 million Nigerians whose greatest daily threat is not a bullet but a preventable disease, the cost of an overwhelmed health system is measured in lives — not statistics.

Overall Conclusion

"The Budget of a Nation Tells You What It Values. This One Tells You What It Owes."

Three questions. Three answers. One consistent story.

Nigeria's 2026 budget is not a plan for development. It is a statement of accumulated obligations. Before a single road is built, a single teacher is hired, or a single clinic is stocked, 76 kobo of every naira the government earns is already committed to debt repayment. The remaining capacity to govern is squeezed further by a capital budget that contains ₦2.24 trillion in legacy contractor debts and ₦3.42 trillion in new loans that will generate tomorrow's debt service.

The healthcare budget technically passes its own legal test — but only when a ₦208 billion intelligence-sector facility is counted as a public health investment. Strip that single item, and Nigeria violates the law it wrote for itself. These are not partisan observations. They are arithmetic. The numbers come from the government's own document, presented to the National Assembly, signed in the name of the Federal Republic of Nigeria. The data does not accuse — it describes. And what it describes is a country that must urgently decide whether its budget is an instrument of governance or a record of unpaid bills.

Summary of Key Findings

Question	Finding	Implication
Q1 — Deficit & Debt	Nigeria earns ₦33.2T but spends ₦58.5T. The ₦25.3T gap is 91% financed by borrowing. Debt service at 47.92% of revenue is nearly double the IMF 30% benchmark.	Every new borrowing adds to future debt service. The structural deficit is self-reinforcing unless revenue grows or spending is restructured.
Q4 — Capital Illusion	₦2.24T of the ₦23.2T capital budget is legacy debt payments. ₦3.42T is loan-funded (new projects, new debt). Only	The capital budget headline overstates genuine new investment by ₦5.7 trillion. Projects approved in 2026 risk

	₦17.6T (75.6%) is true new self-funded investment.	becoming 2028's contractor liability line items.
Q5 — Health Compliance	The budget is compliant at 6.39% — but only 0.39 percentage points above the legal floor. Remove the NIA Hospital (₦208Bn) and compliance fails. Security gets 2.41× more than health.	Compliance is fragile. The margin is narrow enough that any budget execution shortfall in health MDAs would trigger a legal violation of the Appropriation Bill itself.

VISUALIZATION PICTURES

<https://app.powerbi.com/view?r=eyJrIjoibWJyYmM1ODctYjdiZS00N2ZkLThtINTAtMmQ0OWI1Mjg5ZDdkliwidCI6IjFjY2E2YTVhLWRIYmItNDI0OS04OGYyLTNkNWRjMTNiMDVIZiIsImMiOiJ9>



